

Pensions

A **pension** is a type of retirement fund that will usually guarantee employees a specified amount of money per year when they are retired. Like a 401(k), money will be automatically deducted from your paycheck and put into a fund, but unlike a 401(k), you do not have an individual account that you need to manage before and during retirement. Instead, the fund will pay you a percentage of your working salary for a period of time, sometimes forever.

Firefighters, public school teachers, police officers, and government employees often have pensions. The retirement income of one of these employees is typically determined by the number of years they have worked and their final salary. Table 9.1 demonstrates one of the pension plans offered to employees of the Los Angeles Fire Department.

Table 9.1. Los Angeles Fire and Police Pensions

Years of service	Percentage of final salary received as pension
20 years	50%
21 years	53%
22 years	56%
23 years	59%
24 years	62%
25 years	65%
33 years	90% (maximum) ⁵³

53 "Tier 5 Summary Plan Description," Los Angeles Fire and Police Pensions, May 2020, https://www.lafpp.com/sites/main/files/file-attachments/tier_5_spd.pdf.